EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Lal-lo is a 1st class municipality with a population of 49,928 based on a survey conducted by the Barangay Population Officers as of December 31, 2015. It has 35 barangays spread over 70,280 hectares. It is the fourth largest municipality in the Province of Cagayan in terms of land area.

Lal-lo, historically, was Cagayan Valley's first City. It was then named "Ciudad de Nueva Segovia" by Juan Pablo Carreon in 1581, visited by Juan Salcedo in 1572 and Luis Perez Dasmarinas in 1592. It was the capital of Cagayan up to 1839 and has been the first home of the 15th century image of our Lady of Visitation, now known as Our Lady of Piat.

Today, we have seen changes and countless achievements not only in terms of infrastructure projects but also on institutional and social aspects. This municipality has been a consistent winner on Solid Waste Management, Nutrition, Clean and Green in the Provincial, Regional as well as National level and the Seal of Good Housekeeping by the DILG. During the last quarter of 2016, the LGU was conferred the Seal of Good Local Governance, the highest award given by DILG to LGUs wherein it is the pioneer 1st class municipality to receive such award in the whole province. To include, the CSC RO2 had awarded LGU Lal-lo the Maurity Level 2 in Performance Management System under the Program Institutionalized Meritocracy and Excellence in Human Resource Management (PRIME-HRM).

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Lal-lo for the period ended December 31, 2016. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them.

2. Highlights of Financial Information

The table below shows that the Municipality’s Assets, Liabilities and Government Equity as of December 31, 2016, were P354,428,862.66, P212,866,112.16 and P141,562,750.50, with an increase of 10.69%, 8.44% and 14.26%, respectively from last year’s figures.

On the other hand, income earned and expenses incurred during the year amounted to P185,099,900.24 and P150,195,100.96 which increased by 10.85% and 10.67%, respectively from last year’s figures.

			Increase(Decrease)	
	2016	**2015**	**Amount**	**Percentage**
Assets	354,428,862.66	320,195,115.29	34,233,747.37	10.69%
Liabilities	212,866,112.16	196,301,751.11	16,564,361.05	8.44%
Govt. Equity	141,562,750.50	123,893,364.18	17,669,386.32	14.26%
Income	185,099,900.24	166,987,642.92	18,112,257.32	10.85%
Expense	150,195,100.96	135,709,527.84	14,485,573.12	10.67%
Appropriations	195,024,348.72	189,318,379.79	5,705,968.93	3.01%
Obligations	161,890,158.55	146,717,243.87	15,172,914.68	10.34%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to non-submission of financial transactions and accounts within the prescribed period, not securing warranty security from the contractors of various completed infrastructure projects, and not deducting the advance payment from the periodic progress payment for a project, thus affecting the fair presentation of the accounts in the financial statements.

4. Significant Findings and Recommendations

a) The financial transactions and accounts of the municipality were not submitted to the Auditor within the period prescribed by COA Circular No. 2009 – 006, hence the review and verification thereof could not be promptly made resulting to delayed communication of results of post audit.

   We recommended that the Accounting Office submit to the Auditor all financial transactions and accounts of the Municipality within the prescribed period and for the Treasury Office to transmit to the Accounting Office within the most reasonable time all documents and reports to ensure that the latter could comply with regulation.

b) The Municipality have not secured warranty security from the contractors of various completed infrastructure projects amounting to P11,734,892.37 contrary to Section 62 (62.2.3.3) of the Revised Implementing Rules and Regulation (IRR) of RA No. 9184, hence the LGUs interest is not guaranteed.

   We recommended that the Management require the contractor to provide the warranty security for the project and ensure that warranty security/s be secured from the contractor/s upon final acceptance of projects.

c) Copy of Contract Agreement and the supporting documents for the construction of Municipal Multi-Purpose Center were not submitted to the Office of the Auditor within five (5) working days after the execution of the contract contrary to COA

Circular No. 2009-001 dated February 12, 2009. Thus, errors or omissions cannot be immediately corrected and propriety of the contract cannot be verified.

We recommended that the LGU-Management shall submit copies of perfected contracts together with the supporting documents to facilitate systematic and effective review process and for the timely communication of defects and/or deficiencies found, if any, to avoid suspensions in audit.

d) Advance Payment made for the construction of the Lal-lo Multi-Purpose Center with a total cost of P61,641,348.74 were not deducted from the periodic progress payment to the contractor contrary to Section 4.3 of Annex "E" of the Revised IRR of RA No. 9184, hence, depriving the government of the immediate recovery of the amount paid.

We recommended that the Management deduct portion of the advance payment together with the retention money in accordance with the provisions of Annex "E" of the above mentioned regulation to protect the interest of the government.

e) The Municipality was not able to completely implement and deliver twenty five (25) out of thirty four (34) identified programs, projects and activities (PPAs) under the 20% development fund, hence depriving the intended beneficiaries of the timely utilization thereof and the socio – economic benefits were not achieved and optimized.

We recommended that management fast tract the implementation of all on – going and not yet started programmed and funded projects under the 20% Development Fund to optimize its utilization and the timely delivery of desired benefits to the intended beneficiaries.

f) The Municipality was not able to fully identify and integrate in its Annual Gender and Development (GAD) Accomplishment Report at least 5% of the total appropriation of the municipality that corresponds to activities supporting GAD plans and programs contrary to the provisions of PCW-NEDA-DBM Joint Circular 2012-01, thus, the LGU was not able to contribute fully to the National Government's aim in pursuing women's empowerment and gender equality.

We recommend management the following:

1. Ensure that at least five percent (5%) of the total agency budget appropriations authorized under its annual GAA correspond to activities supporting GAD plans and programs.

2. Include in the mandated appropriation for GAD only those projects that have a well-defined gender issue to be addressed.

3. Include in its Plan and Budget those GAD concerns cited under PPGD for 1995-2025 and other relevant laws on GAD.

4. Make reference with Annex A of PCW-NEDA-DBM JC 2012-01 in the formulation of its GAD Plan and Budget.

5. Status of Suspensions and Disallowances

Suspensions and Disallowances amounting to P25,130,000.00 and P-0- disallowance, respectively, remained unsettled as of December 31, 2015.

Settlement of Suspensions and Disallowances is shown on table below:

	Beginning Balance (As of January 01, 2016)	This Period January 01 – December 31, 2016 (See B Below)		Ending balance (As of December 31, 2016)
		NS/ND/NC	NSSDC	
Notice of Suspension	P25,130,000.00	5,339,091.84	1,412,804.97	P29,056,286.87
Notice of Disallowance	0.00	20,000.00	20,000.00	0.00
Notice of Charge	0.00	0.00	0.00	0.00
Total	**P25,130,000.00**	**5,359,091.84**	**1,432,804.97**	**P29,056,286.87**

We recommended management to settle audit suspensions within the ninety- day period to avoid maturing the suspensions into a disallowance.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations of last year's report, eight (8) were fully implemented and three (3) were partially implemented as of year-end, hence reiterated in Part II of the report.

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